MACJEE
MUNITIONS

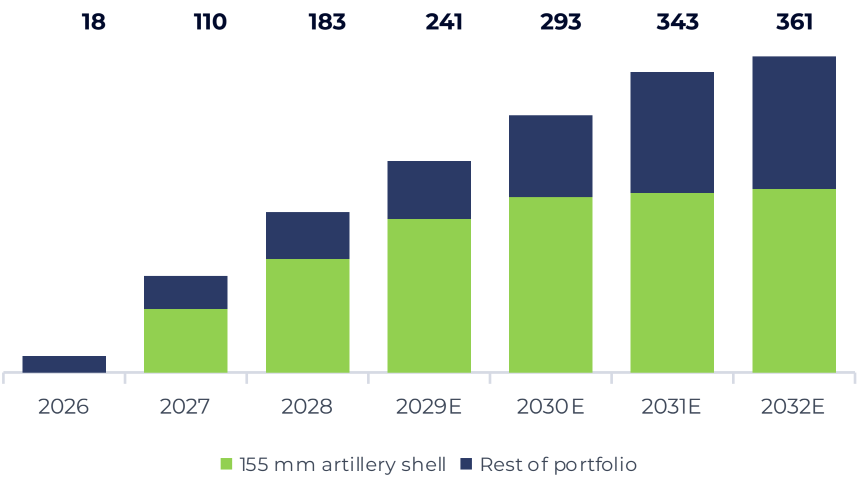
Potential | Mac Jee Munitions

The installed base scales first — US$ 18 mm to US$ 361 mm on the lightest growth capex of the three units

THE ARGUMENT

Munitions is the only unit already producing at scale. The model takes it to US$ 361 mm on US$ 33 mm of growth capex — 12% of the group total — because the lines already exist. The question is not whether it can produce, but whether the 155 mm order book converts at 50k rounds a year.

Gross revenue by driver — US$ mm



What moves the curve

1. **155 mm ER FB BB artillery shell**

   From nothing to 50k rounds a year at US$ 3.6–4.2k — 65% of 2027 revenue. Even at 50k the line runs at 42% of the 120k/year capacity the CIM already declares.

2. **Armadillo MRLS**

   5 units in 2028 to 35 in 2031 at US$ 1.7–2.1 mm each. Adds US$ 72 mm by 2032 — 20% of the unit — from a standing start.

3. **Smart-weapons tail**

   Dagger, 70 mm rocket and fuzes reach US$ 14 mm by 2032. Small in revenue, but they defend the margin as the shell dilutes it.

▲ **42%** 155 mm capacity used, 2032

$ **12%** of group growth capex

◆ **41% → 35%** Gross margin to 2032

■ **US$ 550 mm** Gross profit 2027–32

USD **110** mm
Revenue in 2027E

USD **33** mm
2027 growth capex

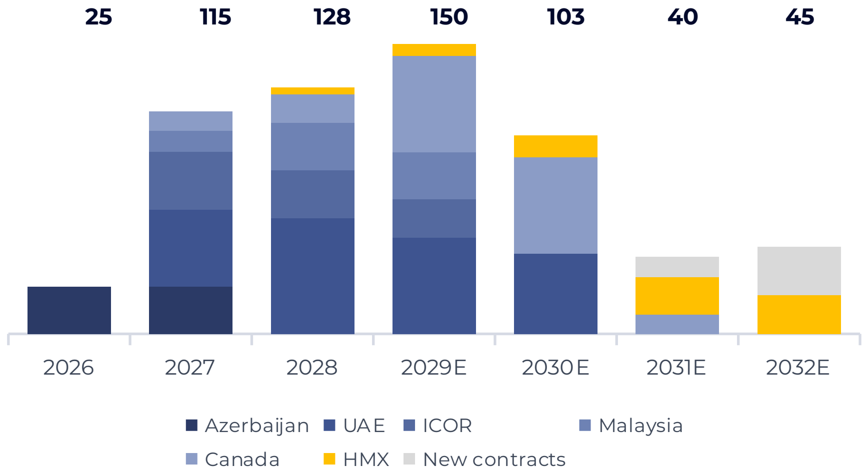
Source: Mac Jee financial model v025, Base case (FX R$ 5.1733/US$). Gross revenue.

MAC JEE ENERGETICS

Potential | Mac Jee Energetics

The curve falls after 2029 because the model counts only contracts already identified — not because the plants stop

Gross revenue by contract — US$ mm



Why the curve falls

1. **Five country contracts, finite by construction**

   Azerbaijan ends 2027, ICOR and Malaysia 2029, UAE 2030, Canada 2031 — 100% of 2027 revenue, and zero by 2032.

2. **Only two lines survive the horizon**

   HMX reaches US$ 15 mm in 2032. “New contracts” — the replacement line — is set at US$ 10.5 mm and US$ 25 mm. That is the entire renewal assumption.

3. **The CIM’s own pipeline is not in the model**

   Page 41 of the CIM shows a US$ 900 mm 2027 pipeline for Energetics. The model books US$ 35 mm of new contracts across 2031–32. That gap is the upside.

THE ARGUMENT

Energetics converts contracts, it does not sell a catalogue — and the model reflects exactly that. Revenue peaks at US$ 150 mm in 2029 and falls to US$ 45 mm because five named country contracts run off and the Base case replaces them with US$ 25 mm. The plants do not run off. That gap is the whole upside, and it is not in the numbers.

100%
of 2027 revenue

43%
Gross margin, flat

US$ 253 mm
Gross profit 2026–32

2029
Peak, then run-off

USD **115** mm
Revenue in 2027E

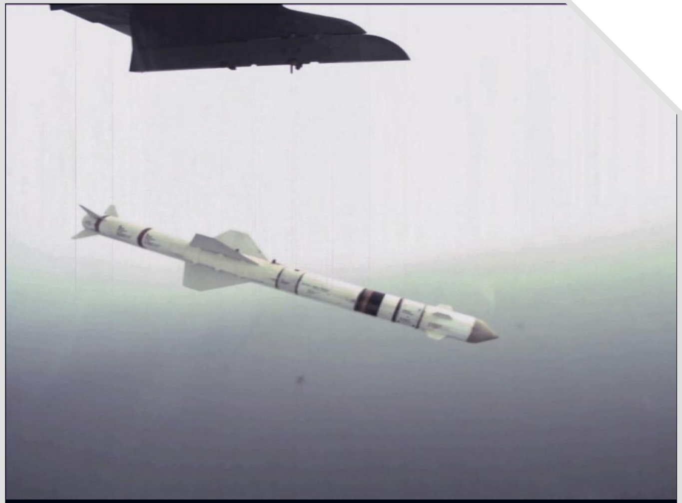
USD **25** mm
2027 growth capex

Source: Mac Jee financial model v025, Base case (FX R$ 5.1733/US$). Gross revenue. “New contracts” is the model’s own replacement line, not an IGC estimate.

MACJEE
MISSILE

Potential | Mac Jee Missile

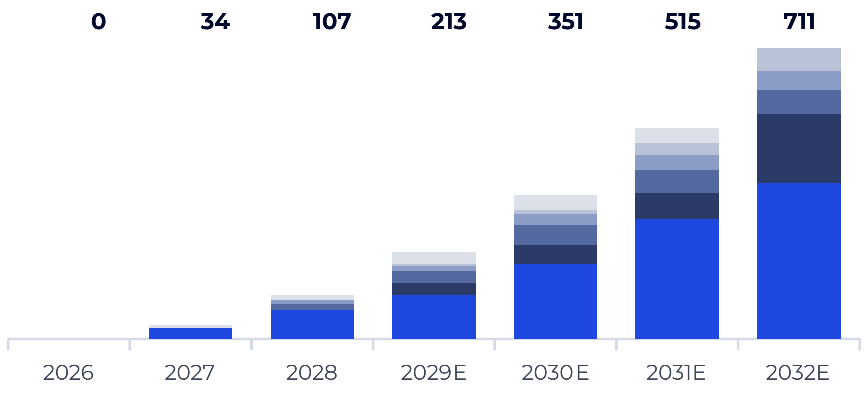
From zero to the group's largest unit — and the destination of 78% of the growth capex



THE ARGUMENT

Missile carries the equity story: nothing in 2026, US$ 711 mm and 64% of group revenue by 2032, at the only expanding gross margin in the group. It is also where the money goes — US$ 210 mm of growth capex in 2027 alone, spent before the first GGM units ship at scale. The unit is the thesis and the risk in the same line.

Gross revenue by programme — US$ mm



Where the value sits

1. **GGM Cruise Missile 300 is the unit**

   15 units in 2027 to 150 in 2032, at US$ 1.9 mm rising to US$ 2.55 mm each. Alone it is 54% of the unit in 2032 and 34% of the group.

2. **US$ 210 mm of capex, all in 2027**

   78% of the group's US$ 268 mm total, committed in a single year — years before the volume that repays it. Nothing else in the plan is this front-loaded.

3. **The only expanding margin in the group**

   49% in 2028 to 52% in 2032 — the only unit whose margin expands across the plan. Mix, not price: missile programmes run near 50% gross margin.

$ **78%** of group growth capex

▲ **64%** of group revenue 2032E

◆ **50% → 52%** Margin, expanding

■ **8 programmes** from zero in 2026

USD **34** mm
Revenue in 2027E

USD **210** mm
2027 growth capex

Source: Mac Jee financial model v025, Base case (FX R$ 5.1733/US$). Gross revenue.